25 Katy invests £200 000 in a savings account for 4 years.
The account pays compound interest at a rate of 1.5% per annum.

Calculate the total amount of interest Katy will get at the end of 4 years.

After a 1.5% increase: 100% + 1.5% = 101.5%

	Percent	Multiplier	
×1.015	100	1	
	101.5	1.015	×1.015

Year 1: $200000 \times 1.015 = £203000$

After 4 years: 200000×1.015^4

$= £212272.710125$

Interest = 212272.710125 − 200000

= £12272.71 to the nearest penny

1 mark
First year compound multiplier.

1 mark
Repeat the multiplier four times.

1 mark
Interest £12272.71.

£ 12272.71

(Total for Question 25 is 3 marks)